

HCS HB 2596 -- MULTIPLE EMPLOYER SELF-INSURED HEALTH PLANS

SPONSOR: McGaugh

COMMITTEE ACTION: Voted "Do Pass with HCS" by the Standing Committee on Health and Mental Health by a vote of 15 to 0. Voted "Do Pass" by the Standing Committee on Rules-Administrative by a vote of 9 to 0.

The following is a summary of the House Committee Substitute for HB 2596.

This bill changes the definition of "multiple employer self-insured health plans" to include plans established for the purpose of offering benefits to two or more self-employed individuals, each with at least one common-law employee, and their dependents.

Current law requires funds collected from participating employers under multiple employer self-insured health plans to be held in trust subject to certain requirements, including filing an annual report with the director of the Department of Commerce and Insurance showing the condition and affairs of the plan. This bill modifies that requirement by adding the report must be in compliance with Section 375.041, RSMo and also requires that the plan file an RBC report with the director.

Additionally, current law requires health plans to establish loss reserves for incurred losses and unearned premiums, as well as surplus accounts equal to certain amounts. This bill requires the surplus accounts to be equal to the greater of the following:

- (1) \$600,000; or
- (2) An amount equal to two times the authorized control level risk-based capital.

The following is a summary of the public testimony from the committee hearing. The testimony was based on the introduced version of the bill.

PROPONENTS: Supporters say that these types of plans are comprehensive health insurance coverage that serve as a lifeline to small businesses. These plans can lower costs and provide stability and growth opportunities for small businesses. These plans can additionally improve employee retention.

Testifying in person for the bill were Representative McGaugh; Missouri Chamber of Commerce and Industry; Jan Haviland, Haviland Corporation; and Tamara Tateosian, Callaway Chamber of Commerce.

OPPONENTS: There was no opposition voiced to the committee.

Written testimony has been submitted for this bill. The full written testimony and witnesses testifying online can be found under Testimony on the bill page on the House website.